Human Resource Management - Set 2

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. An importance of industrial relations is to
A. reduce the number of trade unions operating in the industry
B. avoid disputes and create harmonious relationships so productivity increases
C. increase the working hours of employees without extra payment
D. raise product prices so that the firm earns higher profits every year

2. Compared with wages, salary usually refers to
A. monthly pay of clerical, managerial and professional staff
B. payment made to a worker for the number of units produced
C. bonus paid to workers at the time of festivals
D. hourly or daily pay of manual and unskilled workers

3. The relative amount of pay assigned to each job compared with the job market is the
A. grievance
B. pay level
C. pay form
D. pay structure

4. Moving an employee through different jobs to widen skills is
A. job evaluation
B. job analysis
C. job rotation
D. job description

5. In the Model Grievance Procedure, the officer designated by management must respond within
A. 48 hours
B. 3 months
C. 30 days
D. 7 days

6. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing
A. the permanent appointment of a labour court in every factory
B. a mutually agreed grievance procedure
C. a uniform national wage scale for workers in all industries
D. a compulsory ban on all strikes and lockouts in the industry

7. Learning while working under a supervisor or mentor at the workplace is known as
A. Lecture
B. Role playing in a training hall
C. coaching
D. Sensitivity training

8. In 360-degree appraisal, an employee is rated by
A. his immediate superior alone at the end of the financial year
B. the customers and the shareholders of the company only
C. the employee himself and the trade union representative
D. superiors, subordinates and peers

9. Which of the following is a TRADITIONAL method of performance appraisal?
A. 360-degree appraisal
B. Assessment centre
C. Straight ranking
D. BARS

10. Which job evaluation method is widely used currently and expresses jobs in terms of key factors and points?
A. Classification method
B. Essay method
C. Point method
D. Ranking method

11. In grievance handling, a grievance should first be dealt with
A. by the trade union leader, before informing the management
B. at the lowest level, with the immediate superior
C. by an outside labour court, to ensure that the decision is impartial
D. by the Board of Directors, so that the decision is final and binding

12. Organisational career management focuses on
A. fulfilling the personal hobbies and interests of employees outside work
B. reducing the number of positions available for promotion
C. deciding the career path of each employee without consulting him
D. meeting the organisation's workforce needs through planned career moves

13. A sound wage policy should be
A. kept secret from employees so that no one can compare pay
B. framed to pay the lowest possible wage to reduce costs
C. fair to both employers and employees and consistent with law
D. decided by the employer alone, without regard to the law

14. Selection is the process of
A. searching for and attracting a large pool of candidates to apply for vacancies
B. preparing a list of the tasks and duties attached to a vacant position
C. training newly appointed employees to perform their duties efficiently
D. choosing the most suitable candidate from the pool of applicants

15. Which is an objective of performance appraisal?
A. Compensation and promotion decisions
B. Opening new branches
C. Reducing office rent
D. Increasing advertisement spend

16. Which is a common challenge in succession planning?
A. Too many resources
B. No change at all
C. Lack of employee buy-in
D. Too much information

17. In career planning, the employee acts as
A. the trade union leader who bargains for his promotion
B. the auditor who checks the career plans of the organisation
C. only a spectator while the manager decides his future
D. self-assessor of aspirations and needs

18. In the era of globalisation and digital transformation, the HR manager's role is shifting towards
A. strategic partner and change agent
B. purely administrative work
C. record keeper only
D. manual file maintenance

19. Compensation is
A. the bonus paid to an employee at the end of the financial year
B. the amount paid to an employee at the time of retirement only
C. the basic salary paid to an employee every month and nothing else
D. the total reward received by an employee in exchange for services performed

20. BARS combines the rating scale with the
A. paired comparison

B. forced distribution
C. critical incident concept
D. essay method

21. Which is NOT a feature of performance appraisal?
A. Random and unplanned process
B. Periodic and planned
C. Objective assessment
D. Systematic process

22. A healthy industrial relations climate requires the role of
A. employers and shareholders, with no role for the government
B. trade unions alone, since they represent the workers
C. government, trade unions and management together
D. courts and tribunals, which settle every dispute

23. Under the Industrial Disputes Act, the machinery for settling disputes includes
A. recruiting, selecting and hiring
B. advertising, selling and branding
C. budgeting and forecasting
D. conciliation, arbitration and adjudication

24. The objectives of career planning include
A. avoiding any link between employee goals and the firm's needs
B. matching individual aspirations with organisational opportunities
C. increasing employee turnover so that fresh talent can be hired
D. reducing the number of promotions to control the wage bill

25. A statement of tasks, duties and responsibilities of a job is called
A. job evaluation
B. job specification
C. job rotation
D. job description

26. Job evaluation helps minimise wage discrimination on the basis of
A. skills only
B. experience only
C. performance only
D. age, gender and caste

27. The need for training arises from
A. changes in technology, job requirements and performance gaps
B. the increase in the dividend paid to the shareholders
C. the shortage of finance for expansion of the business
D. fall in the demand for the company's products in the market

28. In Kirkpatrick's model, measuring whether trainees apply what they learned on the job is the
A. results level
B. behaviour level
C. learning level
D. reaction level

29. Which is an essential of an effective grievance procedure?
A. Complexity, secrecy, delay and rigid rules for all employees
B. Exclusion of union representatives from every stage of the procedure
C. Decision by the management alone without any appeal
D. Legal sanctity, acceptability, simplicity and promptness

30. Which is an INTERNAL factor influencing compensation?
A. Technological change
B. Laws and regulations
C. Inflation

D. Ability to pay

31. Which is an off-the-job training method?
A. Job rotation
B. Classroom lectures
C. Apprenticeship
D. Coaching at the workplace

32. Keeping dated records of specific positive and negative incidents of an employee is the
A. paired comparison
B. critical incident method
C. forced distribution method
D. essay method

33. The four categories of HRM objectives mentioned in the Important Questions are
A. organisational, functional, societal and personal
B. internal, external, formal and informal
C. short-term, medium-term, long-term and annual
D. financial, marketing, production and legal

34. Workers' compensation first started in
A. India in 1950
B. Japan in 1900
C. Germany in the 1800s
D. USA in 2000

35. Performance evaluation is NOT the same as
A. periodic review
B. employee feedback
C. systematic assessment
D. job evaluation

36. Trade unions in India are registered under the
A. Minimum Wages Act
B. Companies Act
C. Trade Unions Act, 1926
D. Factories Act

37. Which is a common cause of industrial disputes?
A. Wages and allowances, bonus and working conditions
B. Opening of a new branch in a different city by the firm
C. Change in the colour scheme of the company's products
D. Introduction of a new advertising campaign for the brand

38. Training needs analysis at the 'task' level examines
A. the age and family background of the trainees
B. the knowledge and skills required to perform the job
C. the goals, resources and the climate of the whole organisation
D. the performance gaps of the individual employees

39. An interview with predetermined questions asked in the same order is a
A. stress interview
B. structured interview
C. unstructured interview
D. panel interview

40. An interview in which the interviewer deliberately puts the candidate under pressure is a
A. panel interview
B. stress interview
C. telephonic interview
D. structured interview

41. Which of the following is a basic method of job evaluation?
A. Ranking method
B. Pareto analysis
C. Break-even analysis
D. SWOT analysis

42. Recruitment and selection fall under which operative function of HRM?
A. Maintenance
B. Integration
C. Compensation
D. Procurement

43. Which method ranks jobs under factors such as mental effort, physical effort, skill and responsibility and assigns money to each factor?
A. Ranking method
B. Factor comparison method
C. Grading rating scale
D. Classification method

44. Under a standard hour plan, an employee is paid
A. his hourly rate for the standard time, regardless of the actual time taken
B. only for the actual number of hours he works on each operation
C. a fixed monthly salary irrespective of the operations performed
D. a share of the company's profit distributed at the end of the year

45. Job analysis differs from job evaluation because job analysis
A. fixes wages directly
B. gathers information about a job
C. ascertains the worth of a job
D. evaluates employees

46. In the field review method, ratings are conducted by
A. a panel of external customers who deal directly with the employee
B. a senior director who rates all employees at the end of the year
C. the employee's own supervisor alone, without any help from HR staff
D. a trained HR staff member in the field who supports line managers

47. A Wage Board in India is typically a
A. court that decides disputes between workers and employers
B. committee of shareholders that fixes the salary of directors
C. tripartite body of employer, employee and independent members
D. body of government officials appointed to inspect factories

48. Recruitment through employee referral is a source that
A. uses the firm's own employees to recommend candidates
B. private employment agencies that supply candidates to firms
C. campus placement at colleges and universities
D. advertisements published in newspapers and professional magazines

49. Training and career development fall under which operative function?
A. Procurement
B. Compensation
C. Separation
D. Development

50. Placing employees along a set distribution scale such as outstanding, above average, average, below average, poor is
A. paired comparison
B. straight ranking
C. essay evaluation
D. forced distribution

Answer key - Set 2

1. **B**	11. **B**	21. **A**	31. **B**	41. **A**
2. **A**	12. **D**	22. **C**	32. **B**	42. **D**
3. **B**	13. **C**	23. **D**	33. **A**	43. **B**
4. **C**	14. **D**	24. **B**	34. **C**	44. **A**
5. **A**	15. **A**	25. **D**	35. **D**	45. **B**
6. **B**	16. **C**	26. **D**	36. **C**	46. **D**
7. **C**	17. **D**	27. **A**	37. **A**	47. **C**
8. **D**	18. **A**	28. **B**	38. **B**	48. **A**
9. **C**	19. **D**	29. **D**	39. **B**	49. **D**
10. **C**	20. **C**	30. **D**	40. **B**	50. **D**

Answers with explanations

1. An importance of industrial relations is to

Answer: B. avoid disputes and create harmonious relationships so productivity increases

Why correct: Good IR reduces disputes and raises productivity.

A is wrong: Reducing unions is not the aim.

C is wrong: Unpaid extra hours are unfair.

D is wrong: Price rises are not IR aims.

2. Compared with wages, salary usually refers to

Answer: A. monthly pay of clerical, managerial and professional staff

Why correct: Salary is usually monthly pay of clerical, managerial and professional staff.

B is wrong: Per unit pay is piece rate.

C is wrong: Festival payment is bonus.

D is wrong: Hourly or daily pay is wage.

3. The relative amount of pay assigned to each job compared with the job market is the

Answer: B. pay level

Why correct: Pay level compares a job's pay with the job market.

A is wrong: Grievance is a complaint.

C is wrong: Pay form is guaranteed vs at-risk.

D is wrong: Pay structure compares jobs inside.

4. Moving an employee through different jobs to widen skills is

Answer: C. job rotation

Why correct: Job rotation moves staff between jobs to widen skills.

A is wrong: Job evaluation values jobs.

B is wrong: Job analysis studies jobs.

D is wrong: Job description lists duties.

5. In the Model Grievance Procedure, the officer designated by management must respond within

Answer: A. 48 hours

Why correct: The designated officer must reply within 48 hours.

B is wrong: 3 months is too long.

C is wrong: 30 days is too long for step one.

D is wrong: 7 days is the committee's time.

6. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing

Answer: B. a mutually agreed grievance procedure

Why correct: The 1957 Code of Discipline advised a mutually agreed grievance procedure.

A is wrong: A labour court in each factory is not in the Code.

C is wrong: A uniform wage scale is not in the Code.

D is wrong: A ban on all strikes is not in the Code.

7. Learning while working under a supervisor or mentor at the workplace is known as

Answer: C. coaching

Why correct: Coaching is learning at work from a supervisor or mentor.

A is wrong: A lecture is off-the-job.

B is wrong: Role playing is off-the-job.

D is wrong: Sensitivity training is off-the-job.

8. In 360-degree appraisal, an employee is rated by

Answer: D. superiors, subordinates and peers

Why correct: 360-degree: superiors, subordinates and peers all rate.

A is wrong: Only the boss is traditional appraisal.

B is wrong: Customers and shareholders only is not 360.

C is wrong: Employee plus union is not 360.

9. Which of the following is a TRADITIONAL method of performance appraisal?

Answer: C. Straight ranking

Why correct: Straight ranking is a traditional method.

A is wrong: 360-degree is modern.

B is wrong: Assessment centre is modern.

D is wrong: BARS is modern.

10. Which job evaluation method is widely used currently and expresses jobs in terms of key factors and points?

Answer: C. Point method

Why correct: The point method scores key factors and converts points to pay.

A is wrong: Classification is grade based.

B is wrong: Essay is not an evaluation method.

D is wrong: Ranking is not factor based.

11. In grievance handling, a grievance should first be dealt with

Answer: B. at the lowest level, with the immediate superior

Why correct: A grievance should first go to the immediate superior so it can be settled at once.

A is wrong: Informing the union first bypasses management.

C is wrong: A labour court is the last step.

D is wrong: The Board is too high for a first step.

12. Organisational career management focuses on

Answer: D. meeting the organisation's workforce needs through planned career moves

Why correct: Organisational career management meets the firm's workforce needs through planned moves.

A is wrong: Hobbies are not its focus.

B is wrong: Reducing positions is not the aim.

C is wrong: Deciding without consulting is poor practice.

13. A sound wage policy should be

Answer: C. fair to both employers and employees and consistent with law

Why correct: A sound policy is fair to both sides and follows the law.

A is wrong: Secrecy breeds suspicion.

B is wrong: Lowest possible pay is unfair.

D is wrong: Ignoring the law is illegal.

14. Selection is the process of

Answer: D. choosing the most suitable candidate from the pool of applicants

Why correct: Selection picks the most suitable person from the pool created by recruitment.

A is wrong: Searching and attracting is recruitment.

B is wrong: Listing tasks is job description.

C is wrong: Training new staff is induction/training.

15. Which is an objective of performance appraisal?

Answer: A. Compensation and promotion decisions

Why correct: Appraisal results feed pay and promotion decisions.

B is wrong: Opening branches is unrelated.

C is wrong: Office rent is unrelated.

D is wrong: Advertising spend is unrelated.

16. Which is a common challenge in succession planning?

Answer: C. Lack of employee buy-in

Why correct: Employees must accept and support the plan; without buy-in it fails.

A is wrong: Resources are limited, not excessive.

B is wrong: Change is constant; resistance is the issue.

D is wrong: Too much information is not the usual problem; incomplete information is.

17. In career planning, the employee acts as

Answer: D. self-assessor of aspirations and needs

Why correct: In career planning the employee assesses his own aspirations and needs.

A is wrong: Bargaining is a union function.

B is wrong: Auditing the organisation's plans is not the employee's role.

C is wrong: The employee takes part actively, not as a spectator.

18. In the era of globalisation and digital transformation, the HR manager's role is shifting towards

Answer: A. strategic partner and change agent

Why correct: With globalisation and digital change HR moves from paperwork to being a strategic partner and change agent.

B is wrong: Purely administrative work is the old role.

C is wrong: Record keeping alone is the old role.

D is wrong: Manual file maintenance is outdated and being automated.

19. Compensation is

Answer: D. the total reward received by an employee in exchange for services performed

Why correct: Compensation is the total reward (direct pay and benefits) for services.

A is wrong: A bonus is only part.

B is wrong: Retirement pay is only part.

C is wrong: Basic salary is only part.

20. BARS combines the rating scale with the

Answer: C. critical incident concept

Why correct: BARS (Behaviourally Anchored Rating Scale) joins a numeric scale with critical incidents - real behaviour examples placed at each scale point.

A is wrong: Paired comparison compares two employees at a time.

B is wrong: Forced distribution fits people into fixed percentage groups; it has no behaviour anchors.

D is wrong: The essay method is free-written description without a scale.

21. Which is NOT a feature of performance appraisal?

Answer: A. Random and unplanned process

Why correct: Appraisal is planned and systematic, never random.

B is wrong: It is periodic and planned.

C is wrong: It should be objective.

D is wrong: It is systematic.

22. A healthy industrial relations climate requires the role of

Answer: C. government, trade unions and management together

Why correct: Good IR needs government, unions and management working together.

A is wrong: Government has a role.

B is wrong: Unions alone cannot do it.

D is wrong: Courts handle only unresolved disputes.

23. Under the Industrial Disputes Act, the machinery for settling disputes includes

Answer: D. conciliation, arbitration and adjudication

Why correct: Dispute machinery: conciliation, arbitration, adjudication.

A is wrong: Recruiting and hiring is procurement.

B is wrong: Advertising, selling, branding is marketing.

C is wrong: Budgeting is finance.

24. The objectives of career planning include

Answer: B. matching individual aspirations with organisational opportunities

Why correct: Career planning matches personal aspirations with organisational opportunities.

A is wrong: Avoiding a link defeats the purpose.

C is wrong: Higher turnover is not an aim.

D is wrong: Fewer promotions is not an aim.

25. A statement of tasks, duties and responsibilities of a job is called

Answer: D. job description

Why correct: The job description states tasks, duties and responsibilities of the job.

A is wrong: Job evaluation fixes the worth of the job.

B is wrong: Job specification states the person's qualifications.

C is wrong: Job rotation moves employees between jobs.

26. Job evaluation helps minimise wage discrimination on the basis of

Answer: D. age, gender and caste

Why correct: Job evaluation pays the job, so it reduces bias by age, gender or caste.

A is wrong: Skill alone is not a bias.

B is wrong: Experience alone is not a bias.

C is wrong: Performance alone is not a bias.

27. The need for training arises from

Answer: A. changes in technology, job requirements and performance gaps

Why correct: Training is needed when technology or job requirements change or performance falls short.

B is wrong: Dividend increase is unrelated.

C is wrong: Finance shortage is a business issue.

D is wrong: Falling demand is a business issue.

28. In Kirkpatrick's model, measuring whether trainees apply what they learned on the job is the

Answer: B. behaviour level

Why correct: Applying learning on the job is behaviour.

A is wrong: Results is organisational impact.

C is wrong: Learning is knowledge gained.

D is wrong: Reaction is satisfaction.

29. Which is an essential of an effective grievance procedure?

Answer: D. Legal sanctity, acceptability, simplicity and promptness

Why correct: An effective procedure follows law, is accepted by all, simple and prompt.

A is wrong: Complexity and delay defeat the purpose.

B is wrong: Excluding unions is unfair.

C is wrong: No appeal is unfair.

30. Which is an INTERNAL factor influencing compensation?

Answer: D. Ability to pay

Why correct: Ability to pay depends on the firm's finances, an internal factor.

A is wrong: Technology change is external.

B is wrong: Laws are external.

C is wrong: Inflation is external.

31. Which is an off-the-job training method?

Answer: B. Classroom lectures

Why correct: Classroom lectures happen away from the work place.

A is wrong: Job rotation is on-the-job.

C is wrong: Apprenticeship is on-the-job.

D is wrong: Coaching at work is on-the-job.

32. Keeping dated records of specific positive and negative incidents of an employee is the

Answer: B. critical incident method

Why correct: Recording dated good and bad incidents is the critical incident method.

A is wrong: Paired comparison compares pairs.

C is wrong: Forced distribution uses categories.

D is wrong: Essay method uses a written description.

33. The four categories of HRM objectives mentioned in the Important Questions are

Answer: A. organisational, functional, societal and personal

Why correct: The Important Questions list the HRM objectives under four headings: organisational, functional, societal and personal.

B is wrong: Internal/external and formal/informal describe environments and organisations, not objectives.

C is wrong: Time horizons describe plans, not HRM objectives.

D is wrong: Finance, marketing, production and legal are business functions, not HRM objective types.

34. Workers' compensation first started in

Answer: C. Germany in the 1800s

Why correct: Workers' compensation began in Germany in the 1800s.

A is wrong: India 1950 is wrong.

B is wrong: Japan 1900 is wrong.

D is wrong: USA 2000 is wrong.

35. Performance evaluation is NOT the same as

Answer: D. job evaluation

Why correct: Performance evaluation judges the person; job evaluation judges the worth of the job.

A is wrong: Periodic review is part of evaluation.

B is wrong: Feedback is part of evaluation.

C is wrong: Systematic assessment is evaluation.

36. Trade unions in India are registered under the

Answer: C. Trade Unions Act, 1926

Why correct: Trade unions are registered under the Trade Unions Act, 1926.

A is wrong: Minimum Wages Act covers pay.

B is wrong: Companies Act covers companies.

D is wrong: Factories Act covers safety and hours.

37. Which is a common cause of industrial disputes?

Answer: A. Wages and allowances, bonus and working conditions

Why correct: Wages, bonus and working conditions are the commonest dispute causes.

B is wrong: A new branch is not a cause.

C is wrong: Colour scheme does not touch employees.

D is wrong: An ad campaign is not a cause.

38. Training needs analysis at the 'task' level examines

Answer: B. the knowledge and skills required to perform the job

Why correct: Task analysis studies the knowledge and skills the job requires.

A is wrong: Age and family background are irrelevant.

C is wrong: Organisational goals are organisational analysis.

D is wrong: Individual gaps are person analysis.

39. An interview with predetermined questions asked in the same order is a

Answer: B. structured interview

Why correct: A structured interview asks the same fixed questions in the same order.

A is wrong: Stress interview applies pressure.

C is wrong: Unstructured interview is free-flowing.

D is wrong: Panel interview uses many interviewers.

40. An interview in which the interviewer deliberately puts the candidate under pressure is a

Answer: B. stress interview

Why correct: A stress interview deliberately pressures the candidate to test composure.

A is wrong: A panel interview uses many interviewers.

C is wrong: A telephonic interview is done by phone.

D is wrong: A structured interview uses fixed questions.

41. Which of the following is a basic method of job evaluation?

Answer: A. Ranking method

Why correct: Ranking is a basic evaluation method.

B is wrong: Pareto analysis is quality analysis.

C is wrong: Break-even is a cost tool.

D is wrong: SWOT is strategic analysis.

42. Recruitment and selection fall under which operative function of HRM?

Answer: D. Procurement

Why correct: Recruitment and selection obtain people for the firm - that is the procurement function.

A is wrong: Maintenance keeps employees healthy and satisfied after they join.

B is wrong: Integration is about uniting employee and organisational interests.

C is wrong: Compensation is about pay and benefits.

43. Which method ranks jobs under factors such as mental effort, physical effort, skill and responsibility and assigns money to each factor?

Answer: B. Factor comparison method

Why correct: Factor comparison ranks jobs factor by factor and assigns money to each.

A is wrong: Ranking compares jobs as wholes.

C is wrong: Grading scale is a rating method.

D is wrong: Classification uses grades.

44. Under a standard hour plan, an employee is paid

Answer: A. his hourly rate for the standard time, regardless of the actual time taken

Why correct: Standard hour pay pays for the standard time, not actual time.

B is wrong: Actual hours is time rate.

C is wrong: Fixed salary has no operations link.

D is wrong: Profit share is another plan.

45. Job analysis differs from job evaluation because job analysis

Answer: B. gathers information about a job

Why correct: Job analysis gathers facts about a job; job evaluation sets its worth.

A is wrong: Job analysis does not fix wages.

C is wrong: Ascertaining worth is job evaluation.

D is wrong: Evaluating employees is appraisal.

46. In the field review method, ratings are conducted by

Answer: D. a trained HR staff member in the field who supports line managers

Why correct: In field review a trained HR person in the field assists line managers.

A is wrong: Customer panels are not used.

B is wrong: A year-end director rating is not field review.

C is wrong: The supervisor alone is not field review.

47. A Wage Board in India is typically a

Answer: C. tripartite body of employer, employee and independent members

Why correct: A Wage Board is tripartite: employers, employees and independent members.

A is wrong: Deciding disputes is a tribunal's job.

B is wrong: Shareholders do not form it.

D is wrong: Inspecting factories is an inspector's job.

48. Recruitment through employee referral is a source that

Answer: A. uses the firm's own employees to recommend candidates

Why correct: Employee referral uses current employees to recommend candidates.

B is wrong: Agencies are consultancy sources.

C is wrong: Campus placement is a campus source.

D is wrong: Newspaper ads are advertising.

49. Training and career development fall under which operative function?

Answer: D. Development

Why correct: Training and career development raise knowledge, skills and attitudes - the development function.

A is wrong: Procurement is getting people into the firm.

B is wrong: Compensation is pay and benefits.

C is wrong: Separation is leaving the firm (resignation, retirement).

50. Placing employees along a set distribution scale such as outstanding, above average, average, below average, poor is

Answer: D. forced distribution

Why correct: Forcing employees into set categories is forced distribution.

A is wrong: Paired comparison compares pairs.

B is wrong: Straight ranking orders them.

C is wrong: Essay evaluation is descriptive.